flexicommercial®

FACT SHEET:

Mid-term Refinancing

Relationship building flex for tight times.

When a cash flow crunch hits, mid-term refinancing can be a welcome solution for businesses with asset finance commitments, offering a fast way to free up thousands every month with a longer term.

A CASE STUDY

CURRENT FINANCING	
Original amount	$200K
Current (monthly) repayment	$4,079/month
Remaining balance after 3 years	$91K
REFINANCED OVER 5 OR MORE YEARS	
New monthly repayment	**$1,902/month**
Savings/cash flow freed up	**$2,177/month**

REFINANCING FRAMEWORK

- At least 12 months into the term of the current contract.
- Terms of up to 5 years considered.
- Satisfactory repayment history with no material arrears. A small number of non-systemic dishonours may be acceptable.
- Deal to be refinanced at the net book value. That is, no early termination costs to apply.
- Standard interest rates apply.
- Mid-term refinances are subject to normal flexicommercial credit policy.
- Brokerage limited to 1.0%. Speak to your flexi BDM if you believe the complexity of the deal warrants a higher brokerage.

If you have customers who you believe are worth backing with a refinancing option, talk to your flexicommercial BDM today.

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